

DIVISION OF CONSUMER ADVOCACY
Department of Commerce and
Consumer Affairs
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BEFORE THE PUBLIC UTILITIES COMMISSION
OF THE STATE OF HAWAII

In the Matter of the Transmittal of	)	
	)	
HAWAIIAN ELECTRIC COMPANY, INC.,	)	Transmittal No. 23-01
HAWAII ELECTRIC LIGHT COMPANY, INC.,	)	(Spring Revenue Report)
AND MAUI ELECTRIC COMPANY, LIMITED	)	
	)	Effective Date: June 1, 2023
For Approval to Modify the RBA Rate	)	
Adjustments in the RBA Tariffs and Approval	)	
of the Measured Performance and	)	
Calculation of the PIM Financial Incentives	)	
<u>and Performance Incentive Adjustments.</u>	)	

DIVISION OF CONSUMER ADVOCACY'S
STATEMENT OF POSITION

Pursuant to the Hawaii Public Utilities Commission's ("Commission") Rules of Practice and Procedure, Hawaii Administrative Rules ("HAR") § 16-601-61 and -62, and Decision and Order No. 37507¹ ("D&O 37507") and other various Commission decisions, orders, and rulings relevant to the annual decoupling and related tariff transmittals,² the

¹ Decision and Order No. 37507 was filed on December 23, 2020, in Docket No. 2018-0088.

² The filings and review process represent a compilation of previous decisions and orders that have informed the current presentation and content of the instant transmittal. See, for example, Final Decision And Order And Dissenting Opinion of Leslie H. Kondo, Commissioner, Docket No. 2008-0274 (filed on Aug. 31, 2010) ("2008-0274 Decision and Order"); Decision and Order No. 31908, Docket No. 2013-0141 (filed on Feb. 7, 2014); Order No. 32735,

Division of Consumer Advocacy (“Consumer Advocate”) offers these comments and recommendations for the Commission’s consideration based upon the review that the Consumer Advocate has been able to conduct of the Revenue Balance Account (“RBA”) rate adjustments proposed by the Hawaiian Electric Companies.³ The Consumer Advocate’s review considered the consolidated filing made by the Hawaiian Electric Companies including other adjustments that impact target revenues and the requested rewards related to performance incentive results.

This is the second Spring Revenue Report that the Companies have filed since the Commission’s promulgation of Performance Based Regulation (“PBR”) in Docket No. 2018-0088. In the Companies’ 23-01 transmittal, the Companies have offered that the significant differences between the Fall (filed in Fall 2022) and Spring Revenue Reports (filed in Spring 2023) are as follows:

	HECO	HELCO	MECO
Fall 2022	\$140.0	\$13.9	\$19.6
Spring 2023	\$142.5	\$15.4	\$20.7
Difference	\$2.5	\$1.5	\$1.1

(\$ in millions; including revenue taxes)⁴

Docket No. 2013-0141 (filed on Mar. 31, 2015); Order No. 34514, Docket No. 2013-0141 (filed on Apr. 27, 2017); Decision and Order No. 37507 (Performance Based Regulation), Docket No. 2018--0088 (filed December 23, 2020); Order No. 35488, Tariff Transmittal Nos. 18-01 (Hawaiian Electric), 18-02 (Hawaii Electric Light), and 18-03 (Maui Electric) (Decoupling) (Consolidated) (filed on May 24, 2018); Order No. 36336, Tariff Transmittal Nos. 19-01 (Hawaiian Electric), 19-02 (Hawaii Electric Light), and 19-03 (Maui Electric) (Decoupling) (Consolidated) (filed on May 29, 2019), Order No. 37800, 2021 Decoupling Transmittal No. 21-05, as amended (filed on May 26, 2021); Order No. 38138 Transmittal No. 21-06 (Fall Revenue Report) (filed on December 22, 2021); Order No. 38400, Transmittal No. 22-01 (Spring Revenue Report) (filed on May 25, 2022); and Order No. 38769, Transmittal 22-03 (Fall Revenue Report) (filed on December 16, 2022).

³ The Hawaiian Electric Companies refer to Hawaiian Electric Company, Inc. (“Hawaiian Electric” or “HECO”), Hawaii Electric Light Company, Inc. (“Hawaii Electric Light” or “HELCO”), and Maui Electric Company, Limited (“Maui Electric” or “MECO”). They may also be collectively referred to as “Companies”.

⁴ Tariff Transmittal No. 23-01, Table 1, on pages 15 – 16.

The Spring Revenue Report Incremental Changes (beyond the cumulative Annual Revenue Adjustment (“ARA”)) are summarized as follows:

	HECO	HELCO	MECO
Earning Sharing Adjustment	\$0	\$0	\$0
Performance Incentive Mechanism Adjustment	\$2,453,814 ⁵	\$439,248 ⁶	\$518,069
MPIR/EPRM Adjustment	\$26,557,454 ⁷	\$2,451,953 ⁸	\$2,041,721
Affiliate Transaction Adjustment	\$(11,590) ⁹	\$0	\$0
Pilot Process Cost Recovery	\$183,939 ¹⁰	\$104,024 ¹¹	\$87,451
PUC Ordered Adjustments	\$0	\$0	\$1,708,829
Total Revenue Impact of Spring Report Changes	\$29,183,617	\$2,995,225	\$4,356,070

Source: each company’s respective Schedule A, Spring Revenue Report

If approved as presented by the Companies, the above adjustments will be recovered from customers using a new method – the percentage of bill method – that was requested by the Companies in Docket No. 2019-0323.¹² Based on this new method, the Companies project the following impacts:

⁵ This entire amount is added in the Spring Revenue Report, with \$0 being initially reported in the 2022 Fall Revenue Report.

⁶ This entire amount is added in the Spring Revenue Report, with \$0 being initially reported in the 2022 Fall Revenue Report.

⁷ \$2,504,455 was added in the Spring Revenue Report, with \$24,052,999 being initially reported in the 2022 Fall Revenue Report.

⁸ \$1,364,789 was added in the Spring Revenue Report, with \$1,087,164 being initially reported in the 2022 Fall Revenue Report.

⁹ This entire amount was initially reported in the 2022 Fall Revenue Report.

¹⁰ This entire amount is added in the Spring Revenue Report, with \$0 being initially reported in the 2022 Fall Revenue Report.

¹¹ This entire amount is added in the Spring Revenue Report, with \$0 being initially reported in the 2022 Fall Revenue Report.

¹² The Companies’ request to implement the percentage of bill charge to recover the RBA Adjustment was initially approved in Decision and Order No. 38680, filed on October 31, 2022, in Docket No. 2019-0323. The Companies later sought clarification on the implementation of the

(Estimated residential customer impact)	Incremental Charge
Hawaiian Electric	\$3.11
Hawaii Electric Light	\$1.27
Maui Electric	
Maui	\$0.33
Lanai	\$0.77
Molokai	\$1.65

Source: Table 2 and each company's respective Schedule A

Consistent with past decoupling and ARA filings, the Consumer Advocate sought to conduct its review in the limited time to verify calculations but also review the proposed RBA adjustment for reasonableness, including whether some of the components might include certain elements that may require adjustment. The following discussion offers the Consumer Advocate's comments and recommendations related to several items, including the new billing determinant and a review of various PIMs. As with Statements of Position filed in response to tariff transmittals filed previously, the Consumer Advocate will provide observations, comments, and recommendations that the Consumer Advocate offers for the Commission's consideration regarding the Companies' proposed tariffs and rates. Given the limited available period of review, the Consumer Advocate sought to address what it could in that limited window and to validate what was possible.

I. BACKGROUND.

The Spring Revenue Report is the cumulative result of various proceedings supportive of Hawaii's transition to clean energy and the need for the regulatory process to evolve with Hawaii's energy industry. This evolution included the implementation of

percentage of bill method to delay implementation until June 1, 2023, which the Commission granted in its Order No. 38750, filed on December 8, 2022, in Docket No. 2019-0323.

decoupling in Docket No. 2008-0274, a redesign of the decoupling process in Docket No. 2013-0141, a further redesign of the decoupling process as part of the development of the PBR Framework in Docket No. 2018-0088 as well as the adoption of Performance Incentive Mechanisms (“PIM”) and the Exceptional Project Recovery Mechanism (“EPRM”) in that proceeding. Much of the history and background of the Spring Revenue Report has been discussed in past Consumer Advocate Statements of Position on the annual decoupling filings (now the Spring Revenue Reports), in the Companies’ tariff transmittals, and various Commission decisions and orders. Thus, a detailed discussion of that background will not be repeated here.

II. DISCUSSION.

The Spring Report is meant to be a coordinated filing with the Fall Revenue Report filed in October of the previous year; in this instance, the Companies’ Transmittal No. 22--03 was the Fall Revenue Report, which had a revised filing on November 7, 2022. This Spring Report provides certain updates, such as estimated PIM rewards or penalties, all of which are part of the Annual Rate Adjustment (“ARA”) portion of the PBR Framework. The following are the Consumer Advocate’s observations, comments, and recommendations on the elements in the Spring Revenue Report and it should be understood that silence on any item does not mean agreement with that particular item.

A. CHANGING THE BILLING DETERMINANT.

As noted above, the Spring Revenue Report reflects the recovery of the accumulated RBA Adjustment based on a billing determinant of the estimated percentage of bill rather than the prior method, which recovered the accumulated RBA Adjustment by dividing the adjustment by the estimated kWh. As discussed in greater detail in the Commission's Decision and Order No. 38680, filed on October 31, 2022, in Docket No. 2018-0088 ("D&O 38680"), this new billing determinant was adopted to address concerns that continuing to use kWh as the billing determinant to recover the RBA Adjustment could perpetuate and exacerbate concerns with certain customers being able to bypass or avoid having to contribute (or receive in the instance of the RBA Adjustment returning funds to customers) to the amount to be recovered from customers. While different proposals were offered, the Companies offered its percentage of base bill basis, which the Commission adopted in D&O 38680.¹³ Further, the Commission agreed with the Companies' proposal that this method should be applied to all customers and not just the customers placed on TOU rates.¹⁴ As noted by the Commission, the adoption of the percentage of bill method was meant to address the bypass issues¹⁵ and also to address concerns with inter-class revenue allocations.¹⁶

¹³ The Companies sought and received clarification that the implementation of the percentage of bill method could be delayed to June 1, 2023, in the Commission's Order No. 38750, filed on December 8, 2022, in Docket No. 2019-0323.

¹⁴ D&O 38680, at 92 – 93.

¹⁵ D&O 38680, at 93.

¹⁶ D&O 38680, at 86.

As presented by the Companies in Table 2 of Transmittal No. 23-01, there is a comparison of the bill impact from the Fall Revenue Report, the impact of which was effective as of January 1, 2023, and the estimated bill impact from the Spring Revenue Report, the impact of which would be effective as of June 1, 2023. As presented in the Companies' Table 2, if the Spring Revenue Report is adopted as filed, the incremental change would be as follows:

	HECO	HELCO	MECO		
Monthly Bill Impact			Maui	Lanai	Molokai
Eff. June 1, 2023 (proposed)	\$14.23	\$7.77	\$9.85	\$8.39	\$9.27
Eff. January 1, 2023 (current)	\$11.12	\$6.50	\$9.52	\$7.62	\$7.62
Incremental Change	\$3.11	\$1.27	\$0.33	\$0.77	\$1.65

The information in this table was a discussion point in the Companies' Spring Revenue Report presentation on April 11, 2023, where questions were asked whether the change in the billing determinant might have been the driver for the incremental change between the Fall and Spring Revenue Reports. The Consumer Advocate believes that it would be more illustrative to compare the determination of both the Fall and Spring Revenue Report RBA Adjustment using both kWh and percentage of bill as the determinants to better evaluate the impact of using the percentage of bill method. As a result, the Companies provided additional information in response to Informal CA-IR-17. In that response, the Companies assert that using the percent of bill method would result in a higher bill for residential customers on all islands, except for Maui, for both the 2022 Fall Report and 2023 Spring Report.

The Companies' response appears to support the need for further analysis to better understand the impact of the change in the method as well as whether there should

be modifications to the new method. For instance, the Companies' response highlights one of the topics that was discussed in the April 11, 2023 meeting, wherein the question was posed regarding whether using the target test year revenues from a rate proceeding that was developed years ago might result in a higher percentage adjustment factor as compared to using recent historical billed revenues. As noted in a comparison between the cumulative revenues reflected on each company's respective B2 to the target revenues shown on each company's respective B1, there are variances between the test year target revenues and the recorded revenues and it is not unreasonable to expect any such variance will increase in future years as the time (and revenues) collected will tend to increase beyond the target revenue set in the past. Using the target revenues as the basis for the divisor is likely to create an inherent bias towards having a larger percentage adjustment factor, whether it is to collect or return money, since the divisor will likely be smaller if target revenues are used. The Consumer Advocate offers the following thoughts. The Companies' response to informal CA-IR-17c.1. states that it "is difficult to assess which of these two RBA Divisor calculation methodologies (using the test year revenues and forecasted surcharges versus using historical billed revenues) would minimize the difference between what the Companies collect and target revenue and thereby result in a lower RBA balance." The Consumer Advocate offers that based on Attachment 2, using recent recorded billed revenues instead of the test year target revenues resulted in a lower bill impact in every instance, which is to be expected since recent billed revenues are greater than the target revenues. Thus, the Consumer Advocate offers, barring other evidence that suggests otherwise, allowing the test year target revenues to be used as the basis for the RBA divisor will lead to

increasingly greater variances between what is collected and what should be collected, and the Commission should strongly consider using recent, historical billed revenues as the basis for the RBA divisor. It is likely that the Companies will offer that a true-up will occur under either method but the Consumer Advocate offers that it is in the best interest of customers to minimize early over-collection from customers even if the money will be returned later. Minimizing such over-collection provides value to the customers in terms of not losing the time value of money.

Furthermore, the Consumer Advocate offers that the adoption of the percentage of bill method will partially address concerns with subsidies, which was recognized in D&O 38680. That is, using the legacy kWh approach, the RBA Adjustment was recovered (or returned) across all kWh sales regardless of where the revenue under-collection or over-collection occurred. Thus, the likelihood of cross-class subsidies was much greater where, for example, if there were revenue shortfalls from the commercial and industrial classes during COVID, all other things being held equal, those revenue shortfalls would be recovered through all kWh, including kWh sales to residential customers. Another example would be that for any revenue shortfalls due to distributed energy resource (“DER”) systems offsetting customers use, all other things being held equal, those revenue shortfalls would be recovered through all kWh, including kWh sales to non-participating customers across all classes; thus, since the majority of DER systems are in the residential customer class, any RBA Adjustment would have been recovered from all kWh, including from non-participants as well as across all customer classes but DER participants may not contribute as much to the recovery due to their system reducing the kWh for participating customers. Thus, the new method should at least partially

address concerns with both inter-class and intra-class subsidies and reduce the possibility of bypassing the RBA. However, it should be clear that the new method will mitigate cross-class subsidies due to the bypass opportunities being decreased but the new method will not address all concerns with cross-class subsidies.

As the results of the comparison show, the adoption of the percentage of bill method appears to be resulting in reallocating a portion of the amount to be recovered, which may be partially addressing past inter-class or cross-class subsidies. The Consumer Advocate offers, however, further evaluation of the need for additional modifications to the percentage of bill method may be necessary to further mitigate inter-class or cross-class subsidies as well as to evaluate the impact of intra-class subsidies (e.g., non-participants, especially vulnerable, fixed income, or LMI, customers bearing a disproportionate share of any RBA Adjustment collection). Thus, the Consumer Advocate stresses the importance of evaluating and assessing the impact of this and other rate design changes, such as those anticipated in the ARD time of use rollout and the potential impacts on customers.

The new method could, however, lead to a likelihood of greater variances between the RBA revenue adjustment to be collected and the revenues actually collected through the RBA surcharge. There have always been variances between an individual customer's bill and the average bill for that customer class and the average bills between classes have also varied. Furthermore, those variances have likely increased over time due to the changes in customers within the class. Since the new method uses cumulative adjusted revenues as the divisor to determine the adjustment factor, this may also result in subsidies. That is, the legacy method, which relied on kWh, would favor those

customers who was able to reduce their kWh through DERs, energy efficiency, or changes in customer behavior when there was a revenue shortfall since they would pay less towards that shortfall. The new method mitigates the bypass that could occur but might expose residential customers since the commercial and industrial customers have historically generated more revenues and variances in those revenues would have likely have a greater impact on the RBA divisor and resulting RBA percentage that will be used. For that reason, the Consumer Advocate has offered in Docket No. 2019-0323, and offers again in this forum, that it is likely necessary to analyze revenue shortfalls and over-collections by class in the future to evaluate whether the inter-class subsidies are significant to warrant urgent actions.

In addition, the Consumer Advocate offers that customer outreach to provide information to customers about the pending change and the potential impacts on their bills should be made available as soon as possible, especially since the requested June 1 effective date is rapidly approaching. Given the change, there are certain customers who will likely see a relative increase in their bills because they may have contributed nothing to very little towards RBA charges due to no or low net kWh historical usage and the Companies recognize that there are customers who have not previously received an RBA rate adjustment charge in the past in their response to informal CA--IR--15. The Companies' outreach plan appears to consist of "preparing talking points on the revised RBA adjustment to provide their customer call center in advance of June 1, 2023..." Recognizing that there is not much time before June 1, 2023, the Consumer Advocate still offers that there should have been more effort and efforts that can still be taken by the Companies to develop and offer customer outreach information

in advance of the effective date so that customers could have received at least some basic information prior to the June 1, 2023 effective date to prepare for the possibility of higher electric bills.

Thus, as it relates to the new billing method, the Consumer Advocate recommends:

- The Companies should use recent billed revenues as the basis for the RBA divisor instead of the test year target revenues.
- The Commission should require additional analysis to evaluate the revenue shortfall or overcollection by customer class to support an informed decision whether additional urgent actions may be required to mitigate interclass subsidies that the new billing method may exacerbate.
- Even though it might be too late to provide greater warning of the impending change in the billing method for collecting the RBA adjustment, the Companies should inform the Commission and Consumer Advocate if there is a significant number of calls and/or complaints related to the change so that a future decision could be made whether additional measures might be reasonable.

B. PIMS

In its review of the Companies' filing in the allowed time, the Consumer Advocate attempted to verify the supporting details of the reported performance to verify whether the reported rewards and penalty were warranted as well as whether there were any other rewards or penalties that should have been reflected.

The rewards and penalty that the Companies are claiming are presented in Table 3 of Transmittal 23-01, where the Companies are reporting that the cumulative net rewards are \$2,453,814, \$439,248, and \$518,069 for Hawaiian Electric, Hawaii Electric Light, and Maui Electric, respectively.¹⁷ These cumulative amounts are comprised of rewards or penalties associated with grid services, interconnection approval, LMI energy efficiency, and normalized T&D SAIDI performance results.

1. Interconnection Approval

The interconnection approval PIM was adopted by the Commission in D&O 37507¹⁸ and further refined by Decision and Order No. 37787.¹⁹ The implementation of this PIM provided a reward to the Companies in last year's Spring Revenue Report in the total amount of \$2,775,000 for all three companies, where Hawaiian Electric received \$2.1 million, Hawaii Electric Light received \$225,000, and Maui Electric received \$450,000. The Companies' reported net results for this year suggest that the maximum award should be allowed, where the Companies are reporting that the overall time to interconnect for the year ended 2022 was 16.81 days for Hawaiian Electric, 11.42 days for Hawaii Electric Light, and 10.08 days for Maui Electric. This is an improvement over last years' results for all three companies, where the Companies reported 18.22 days for Hawaiian Electric, 21.27 days for Hawaii Electric

¹⁷ See each company's respective schedule A and/or schedule E.

¹⁸ D&O 37507, at 95 – 106.

¹⁹ Decision and Order No. 37787, filed on May 17, 2021 ("D&O 37787"), in Docket No. 2018-0088, at 7 – 21.

Light, and 19.94 days for Maui Electric. For this year's filing, the Companies provided supporting information beyond the running monthly total provided as WP-E5-001 in Transmittal No. 23-01 and WP-E-005 in Transmittal No. 22-01. The information provided in the Interconnection Approval PIM datafile provides greater insight into how the Companies are calculating the running monthly totals that are reported.

a. Potential issue in the logic of the calculations

In D&O 37787, the proposed and adopted metrics for the interconnection process is presented on page 14. For the Early Energization process, the following parameters apply:

Early Energization	Step	Parameter
	Completeness Review (CR)	Start: Last Application submittal date End: Meter installation date
	Initial Technical Review (ITR)	Start: Application entered ITR date End: ITR completed date
	Supplemental Review (SR) (if applicable) (included only if started before meter replacement)	Start: Application entered SR date End: SR Completed Date
	Conditional approval	
	Validation (included if started before meter replacement)	Start: Last Validation date End: Validation Completed Date (DocuSign sent)
	Meter Replacement (Point of energization)	Start: Meter notification created date End: Meter installation Date

In the limited time available, the Consumer Advocate was not able to review all of the entries and, thus, selected a project for each type of customer group (i.e., quick connect, energy energization, traditional interconnection). In that very limited sample, the Consumer Advocate found issues that warranted further investigation.

i. The Companies' reported durations may need to be recalculated.

The project selected for the early energization was project H-GSP-21-32239. For that project, the relevant data is as follows:

Early Energization	Step	Parameter
	Completeness Review (CR)	Start: 4/20/2021 End: 5/6/2021
	Initial Technical Review (ITR)	Start: 5/6/2021 End: 5/27/2021
	Supplemental Review (SR) (if applicable) (included only if started before meter replacement)	Start: 5/27/2021 End: 6/21/2021
	Conditional approval	
	Validation (included if started before meter replacement)	Start: 12/16/2021 End: 12/20/2021 (DocuSign sent)
	Meter Replacement (Point of energization)	Start: 12/22/2022 End: 1/4/2022

Based on the identified dates, the intervals for each of the steps appear to be: CR – 16 days; ITR – 21 days; SR – 25; validation – 4 days; and meter replacement – 13 days (total 79 days). The claimed interval for this project is 42 days and the calculation of the 42 days is offered in the response to Informal CA-IR-14, where the Companies clarified that the calculation does not include weekend days and did not include the meter change duration since it overlapped the ITR process. In addition, the Companies only included only the steps for CR, ITR, and SR. In recalculating the intervals to exclude weekends, the Consumer Advocate's results are CR – 13, ITR – 16, and SR – 18 (total 47 days) instead of the Companies' results of CR – 12, ITR – 15, and SR – 15 (total 42 days). In addition, it is not clear why the Companies did not include the validation and meter activation steps since, as described in D&O 37787, validation is included if started

before meter replacement and, while the Companies claim that the meter replacement should be excluded if there is an overlap with the ITR, the dates for meter replacement for the selected project appear to be well after the ITR and there is no overlap. Thus, if those additional steps are included and weekends are excluded, the total would appear to be 60 days (CR – 13; ITR – 16; SR – 18; validation – 3; meter replacement 10).

Based on this result, this suggests that the results in the supporting datafile and each company's respective WP-E5-001 should be recalculated to verify the Companies' reported intervals are consistent with the Commission's approved metrics since the Companies' calculations do not appear to be consistent with the identified dates even excluding weekends. In addition, the exclusion of certain steps from the total interval do not appear to be consistent with the approved parameters. As noted earlier, the Consumer Advocate was unable to increase the sample size of this test in the limited time available. However, based on the above, the Consumer Advocate offers that further action is required. Assuming that the Commission agrees that further action is required, the Consumer Advocate offers that there are options that could be adopted until the intervals are verified. First, the Commission could disallow the entire requested PIM reward until the intervals are verified and, after a verification process, the verified reward amounts could be allowed at a later time. Another option is that the Commission could allow the claimed PIM rewards and, after the verification process, require a true-up to the verified amounts at a later time. Another option is that the sample results could be extrapolated to adjust the requested PIM rewards to be allowed at this time and, after the verification process, a true-up to the verified amounts at a later time would occur. The Consumer Advocate believes that, given that many customers are still struggling with the

economic impacts of COVID-19, inflation, etc., the Commission should choose an option that reduces the risk of the customers having to pay more even if the over-collected would be returned at a later time.

ii. The steps included in the calculated interval should be verified.

As noted above, the Companies' calculation for the selected project excluded both the validation and the meter steps from the final count. Based on the Commission's adoption of the Companies' proposed PIM metric, it is not evident why those steps were excluded. Assuming that those steps were improperly excluded, further action would be required to review whether other projects also have excluded steps that should be included in the final results.

Similar to the suggested alternatives to address the issue of whether the intervals are properly calculated, the Commission could disallow the entire amount, allow the entire amount, or allow an adjusted amount that is based on an extrapolation of the sample to the entire population all until the verification process is completed. Similar to the recommendation above, the Consumer Advocate offers that the Commission should consider how customers are being asked to bear more risks and costs associated with various amendments to phase I and II renewable energy projects, the high oil prices that were causing significant electricity bills and find that customers should not be asked to bear higher costs.

iii. Being potentially rewarded twice for the same activity.

During the review of the supporting details, the Consumer Advocate noted that there were instances of where the Companies are claiming a zero interval for quick connect because the meters were already installed. As confirmed in the response to Informal CA-IR-13.b., of the 1,767 quick connect projects, 490 of those projects had a zero interval because of the advanced meter infrastructure (“AMI”) initiative that is the subject of Docket No. 2018-0141. That is, 490 customers that had already received a new AMI meter chose to participate in the quick connect program and the Companies reported an interval of zero.

The Consumer Advocate notes that there is an existing PIM that is encouraging the Companies to install AMI and it appears that the impacts of the AMI program may be also supporting a claimed incentive award for the interconnection program as well. As discussed in Docket No. 2018-0088, the Consumer Advocate has raised questions about having different incentives rewarding the same activity and how such a practice could result in customers paying higher bills as well as create confusion and challenges about measuring the efficacy of the individual PIMs. The Consumer Advocate is not recommending an adjustment or to modify the PIM at this time. This is, however, an issue that should be revisited when evaluating the PIMs in the future.²⁰

²⁰ The Quick Connect Program was extended beyond 2021 into 2022 but it is the Consumer Advocate’s understanding that the Quick Connect Program was discontinued effective October 14, 2022. <https://www.hawaiianelectric.com/products-and-services/customer-renewable-programs/rooftop-solar/especially-for-contractors/emails-to-contractors> That being said, reviewing whether the intervals for traditional or early energization projects might have been impacted by the installation incentivized by the AMI PIM may be appropriate.

2. Low to Moderate Income Energy Efficiency

In an effort to address the PBR outcomes of customer engagement, customer equity, and affordability, the Commission sought to develop a PIM to encourage energy efficiency (“EE”) for Low-to-Moderate (“LMI”) customers. This PIM was not meant to encourage the HECO Companies to offer their own EE programs but to encourage collaboration with the Public Benefits Fund (“PBF”) Administrator, which is branded as Hawaii Energy, and Leidos Engineering is the current vendor selected as the PBF Administrator.²¹ In D&O 37507, the Commission directed the PBR working group to work on the metrics and targets for this PIM. In D&O 37787, the Commission set forth the targets for the metrics, which rely on verified kW and kWh savings.²²

In the 2022 Fall Report, the Companies sought to recover a total of \$432,000 (\$302,000 for Hawaiian Electric, \$65,000 for Hawaii Electric Light, and \$65,000 for Maui Electric) in rewards for the LMI EE PIM. The Companies did not, however, rely on verified kWh and kW information as that information had not yet been released. In response to the Consumer Advocate questioning the Hawaiian Electric Companies’ efforts to recover this reward in the Fall Revenue Report, the Commission denied recovery of the LMI EE

²¹ D&O 37507, at 123.

²² D&O 37787, at 21 – 47.

reward but left open the possibility of the Companies re-submitting its request after a subsequent biannual review filing for consideration.²³

In March 2023, 2050 Partners, Inc., the energy efficiency manager (“EEM”) for the PBF program, submitted its “Low-to-Moderate Income Energy Efficiency Performance Incentive Mechanism Awards (Informational Filing in PUC Docket No. 2007-0323” (“EEM Filing”). In the EEM Filing, the EEM provided its assessment and verified results, including the estimated PIM rewards based on the verified results.

As a result, the Hawaiian Electric Companies are now seeking total awards of \$453,792 in the Spring Revenue Report. Putting aside the questions and concerns raised by the Consumer Advocate in Docket No. 2018-0088 regarding a PIM reward that evaluates the performance of Hawaii Energy as opposed to a direct measurement of the Hawaiian Electric Companies’ performance, the Consumer Advocate relied on the information provided in the EEM Filing to verify that the Companies’ request to recover \$453,792 (\$317,654 for Hawaiian Electric, \$68,069 for Hawaii Electric Light, and \$68,069 for Maui Electric) is supported by the EEM Filing. The Consumer Advocate does not have any recommended adjustments on this PIM.

3. Other PIMs

For all of the other PIMs that have been authorized to date, the Consumer Advocate does not have any recommended adjustments. To be clear, the Consumer Advocate reserves its rights to address concerns raised in past filings regarding PIMs, such as the validity of rewarding the Companies for another parties’ performance

²³ D&O 38769, at 11 – 14.

such as in the LMI EE PIM or that the manner in which the RPS-A is calculated still allows certain forms of fossil fuel generation (i.e., station use), but pursuant to the Commission's past guidance, the Consumer Advocate will pursue those issues in future filings rather than discuss them in detail and recommend modifications in this filing.

C. OTHER REVENUES, IN GENERAL.

As part of the ARA reconciliation process, the Consumer Advocate offers that evaluation of other operating revenues to verify that the Companies are properly identifying relevant sources of revenues that could – and should – be used to offset costs that might otherwise be recovered from customers through the RBA surcharge. This is highlighted in the determination of the earnings calculations, which includes total operating revenues, which includes other operating revenues, as the numerator of that earnings sharing calculation. It is important to ensure that the Companies have appropriately identified and recorded all other operating revenues to ensure that customers receive the benefit of such revenues in the determination of any annual RBA adjustment.

The importance of such an adjustment was highlighted by the Commission's discussion in Order No. 37800, filed on May 26, 2021, related to Transmittal Nos. 21-05 and 21-02 (Hawaiian Electric), Transmittal No. 21-03 (Hawaii Electric Light), and Transmittal No. 21-04 (Maui Electric) ("Order No. 37800") of the issues related to joint pole earnings deficiencies stemming from the transaction approved in Decision and

Order No. 35768, filed on October 16, 2018, in Docket No. 2018-0075 (“D&O 35768”). In Order No. 37800, the Commission offered,

Outside the context of a general rate case, most matters that come before the Commission do not hinge on whether the Companies’ revenues from joint pole services are sufficient to cover expenses. The determination of the ESM by the methods utilized in the Companies’ Schedule D calculations, however, is one matter that is, in fact, directly affected by the Companies’ joint pole revenue and operations...The Commission agrees with the Consumer Advocate’s contention that:

earnings used for sharing calculation purposes should now and prospectively be adjusted to the extent that reported joint pole net losses produce any material impact on any ESM results, in order to ensure more accurate ESM administration while preventing ratepayer subsidization of joint pole operations.

The Companies’ Transmittals should therefore explicitly take into consideration the effects of any joint pole operation net revenue shortfalls in the calculation of the ESM.²⁴

The Consumer Advocate is raising this discussion because of the potential impacts that may arise from the contract that Hawaiian Electric entered into regarding the US Army – Oahu electric distribution systems privatization that was approved by the Commission in Decision and Order No. 37413, filed on October 30, 2020, in Docket No. 2019-0349 (“D&O 37413”). In that proceeding, Hawaiian Electric entered into an agreement to take over the ownership, operation, and maintenance of the US Army’s electric distribution system on Oahu and, as part of the justification of that proposed transaction, the Companies asserted – similar to the assertions in Docket No. 2018-0075 regarding positive impacts from the proposed transaction and that regulated customers would not be required to subsidize costs related to the subject transaction of 2018-0075

²⁴ Order No. 37800, at 42 – 43.

– that the contract with the US Army would provide benefits without adverse impacts on overall system reliability or the electric rates paid by other customers.²⁵

The Consumer Advocate offers that, similar to the situation related to the joint pole transfer approved in D&O 35768, consumers need to be protected against situations where the contract with the Army may result in a net negative income or otherwise result in customers having to subsidize Hawaiian Electric's ownership, operation, and maintenance of the US Army's distribution system. A specific start date of the contact was not offered in Docket No. 2019-0349 but Hawaiian Electric offered that the start date was expected to occur in late 2021 or early 2022.²⁶ To date, Hawaiian Electric has not yet filed the required annual plan in Docket No. 2019-0349, which would, among many things, allow the Commission and the Consumer Advocate to confirm that general ratepayers are not paying for any plant investments or expenses related to the ownership, operation, and maintenance of the US Army distribution system. The Consumer Advocate notes, however, that in Hawaiian Electric's December 2022 monthly financial report filed with the Commission, Hawaiian Electric reflected a \$424,000 deduction to operating income related to interest on long-term payable to Army on page 3 of that monthly filing. This \$424,000 adjustment reduced the operating income for earning sharing calculation on Schedule D. The Consumer Advocate notes that, in the response to Informal CA-IR-9, the Companies' asserted that

The Commission did not include a provision in Decision and Order No. 37413 that required the Company to make ratemaking adjustments related to the Army Privatization contract. Therefore, no

²⁵ Application, filed in Docket No. 2019-0349, at 2 – 3.

²⁶ See, e.g., Application, filed in Docket No. 2019-0349, at 16.

adjustments were made to any of the exhibits, schedules, or workpapers in Transmittal No. 23-01 related to the Army Privatization contract.

As already noted, the annual plan that Hawaiian Electric is supposed to file in Docket No. 2019-0349 has not yet been filed. However, given the assertion that the contract start was expected to begin in late 2021 or early 2022 and the adjustment in the December 2022 monthly financial statement for an interest payment related to a long-term payable to the US Army, it appears that the possible financial impacts of the approved contract in Docket No. 2019-0349 have begun.

The Consumer Advocate acknowledges that the \$424,000 reduction to operating income will not affect the outcome of this year's ESM calculation. The question is, however, whether there may be other financial impacts not yet identified for 2022 results or future results that should be identified for consideration in ESM calculations now or in the future. Furthermore, the Consumer Advocate is concerned with the Companies' response to Informal CA-IR-9 since it seems to suggest that it will not rely on the Commission's requirement set forth in Order No. 37800 regarding the need to make adjustments, if necessary, so that the ESM does not improperly ignore the impacts of the joint pole agreement. The Consumer Advocate also notes that the Commission Decision and Order No. 39180, filed on April 24, 2023, in Docket No. 2021-0186 is also consistent with the need to consider the impact of other operating revenues and income in the determination of the earning sharing mechanism.²⁷ In this case, given the assertions by Hawaiian Electric regarding the contract with the US Army that there would be no adverse impacts on system reliability or on customer rates, the Companies' position appears to

²⁷ Decision and Order No. 39180, at 25 – 27.

be inconsistent with prior Commission guidance. If not addressed, this could result in a situation where, contrary to Hawaiian Electric's assertions, the contract with the US Army could adversely affect general ratepayers in the future.

Thus, the Consumer Advocate urges the Commission to provide clear guidance to the Companies regarding the need to reflect the appropriate adjustments when developing future filings regarding the net impacts of the contract with the US Army (as well as any net joint pole costs/revenues) so that general ratepayers are not adversely harmed.²⁸ Finally, the Consumer Advocate makes clear that, upon Hawaiian Electric filing the required annual plans in Docket No. 2019-0349, if it appears that the net effect of the contract with the US Army is that the reported operating income should have been higher, the Consumer Advocate offers that additional thought may be needed regarding how to treat the inability to consider the 2022 results related to the US Army contract in the instant tariff transmittal, which is analyzing 2022 results. Since the annual plan related to 2022 operations of the Army's operations will not be filed until June 2023 in Docket No. 2019-0349, there appears to be a potential timing issue that may need to be addressed.

III. RECOMMENDATION.

As noted above, the Consumer Advocate attempted to review and analyze the 2023 Spring Revenue Report in the limited time available. Based upon that review and the above discussion, the Consumer Advocate respectfully requests that the Commission consider the recommendations to certain Spring Revenue Report elements. Recognizing

²⁸ To be clear, the Consumer Advocate is not recommending that the \$424,000 adjustment be made to recalculate Schedule D for Hawaiian Electric at this time. While the adjustment should be made, the impact of the adjustment would not result in an earning sharing credit at this time.

the Commission's past statements that the review of the Fall and Spring revenue reports should be largely ministerial, the Consumer Advocate urges the Commission to consider the real world impacts that the Fall and Spring Revenue Reports have on customers' bills and that, even if there is a reconciliation at a later to return any overcollections, it will have an immediate impact on customers. Along those lines, the Consumer Advocate's recommendations related to the need to determine whether there may be inter- and intra--class subsidization that may be affected by the new billing method incorporates suggestions that will allow for a more in-depth analysis of available data later with adjustments to the method in the future. Further, the Consumer Advocate has also offered options to allow an RBA adjustment to be effective as of June 1, 2023, but also allow further analysis to determine whether the Companies' proposed RBA adjustment might require additional analysis with a possible reconciliation in the future (i.e., the raised concerns related to the interconnection PIM). The Consumer Advocate highlights that, besides administrative efficiency, one of the guiding principles for PBR is a customer--centric approach and the Commission should not allow administrative efficiency to outweigh customers' interests. The Consumer Advocate appreciates the opportunity to offer these comments.

DATED: Honolulu, Hawaii, May 1, 2023.

Respectfully submitted,

By /s/ Dean Nishina
DEAN NISHINA
Acting Executive Director

DIVISION OF CONSUMER ADVOCACY

ATTACHMENT TO
CONSUMER ADVOCATE'S STATEMENT OF POSITION

RESPONSES TO: INFORMAL CA-IR-9
 INFORMAL CA-IR-13
 INFORMAL CA-IR-14
 INFORMAL CA-IR-15
 INFORMAL CA-IR-17

INFORMAL CA-IR-9

Ref: U.S. Army Oahu Electric Distribution System Privatization (“Army Privatization”) Contract (Docket No. 2019-0349).

- a. Please explain in detail the review procedures taken by the Pricing Division to ensure that the U.S. Army Oahu Electric Distribution Systems Privatization (“Army Privatization”) contract does not impact the RBA and Target Revenues.
- b. Please explain how the Pricing Division accounted for the revenues generated from Army Privatization contract in the Pricing Division’s RBA Reasonableness Test.
- c. Please explain whether Hawaiian Electric made any adjustments to any of the exhibits, schedules or workpapers in the Trans. No. 23-01 related to the Army Privatization contract. If so, please identify those adjustments and explain why each adjustment was made.

Hawaiian Electric Companies’ Response:

- a. Revenues from the Army Privatization contract are considered Other Operating Revenues. The workpaper that the Regulatory Accounting Division (“Regulatory Accounting”) provides to the Pricing Division (“Pricing”) that calculates the RBA balance for the month does not include Other Operating Revenues, except for certain items of Other Operating Revenues that are included in recorded adjusted revenues for the determination of the RBA balance (Other Operating Revenues related to EV-U and Special Medical Needs Program). Pricing’s RBA Reasonableness Test uses Regulatory Accounting’s workpaper, recorded sales, recorded base and recorded RBA revenue for the month. Other Operating Revenues related to the Army Privatization contract are not included in Regulatory Accounting’s workpaper that determines the RBA balance, and are therefore also not included in Pricing’s RBA Reasonableness Test. Revenues generated from the Army Privatization contract are excluded from Target Revenues used in the determination of the monthly RBA accruals and are excluded from the determination of the RBA Rate Adjustment needed to recover Target Revenues.

- b. See the response to part a., above.
- c. The Commission did not include a provision in Decision and Order No. 37413¹ that required the Company to make ratemaking adjustments related to the Army Privatization contract. Therefore, no adjustments were made to any of the exhibits, schedules or workpapers in Transmittal No. 23-01 related to the Army Privatization contract.

¹ Decision and Order No. 37413 issued on October 30, 2020 in Docket No. 2019-0349, “*For Approval to Commit Funds in Excess of \$2,500,000 for the U.S. Army-Oahu Electric Distribution Systems Privatization; and Rule 4 Service Contract with the U.S. Government.*”

INFORMAL CA-IR-13

Ref: Interconnection Approval PIM datafile

- a. On the Quick Connect tab, the measurement of the duration appears to be the difference between the “Meter Change Date” and the “Meter Notif created” date.
 1. Pursuant to Decision and Order No. 37787, the start of the duration parameter is supposed to be the contractor request email received date and the end of the duration is the meter installation date. Please discuss whether the “Meter Notif created” date is supposed to represent the date that the Companies received the email from the contractor requesting a meter replacement and, if so, please explain the purpose of the column “Email notif date used”.
 2. If the “Meter Notif created” date does not represent the date that the Companies received a request from a contractor, please explain what this column represents and what is used to support the dates in this column.
 3. Assuming that the “Meter Notif created” is supposed to represent the day that the Companies received an email from the contractor, please discuss what evidence the Companies can readily provide to support the claimed date of receipt.
 4. Please discuss what evidence the Companies can provide to support the claimed date of the meter being changed or where it already existed.
- b. On the Quick Connect tab, the Companies appear to be claiming that of the 1,767 projects, 490 of them already had existing meters that met the interconnection requirements. Please confirm.
 1. Please discuss whether those instances where the Companies had to take no action since the necessary meters were already in place should be included in the determination of any PIM reward or penalty.
- c. On the Quick Connect tab, the Companies appear to be claiming that besides the 490 projects that had existing meters that met interconnection requirements, there were 16 projects where the Companies were able to install the necessary meter on the same day that an email was received from the contractor. Please confirm.
- d. Putting aside the duration parameter for Quick Connect projects only looking at the interval of how long it takes to have the appropriate meter in place, please explain why, for many of the Quick Connect projects, it appears that the duration as measured under the Early Energization or Traditional criteria for these Quick projects often appear to take longer than for the projects that are interconnected either under the Early Energization or Traditional projects.
 1. If not already identified in the response to part d. above, please discuss when the customers are able to receive value from their systems (i.e., system is energized and the customer is able to export or receive credit for the system’s production) under the quick connect process in relation to when the appropriate revenue meter is in place.

Hawaiian Electric Companies' Response:

- a. 1. The "Meter Notif created" date serves a dual purpose as it is either the date the contractor email is received, or the date the meter notification is created. The Companies are informed of a customer's wish to participate in Quick Connect in two ways: 1) an email from the contractor is submitted to the Companies requesting the customer's meter be replaced. This email must also include a Grant of Authorization form where the customer acknowledges participation in Quick Connect and authorizes the contractor to act on their behalf, and the interconnection application can be submitted at a later date; and 2) no email is submitted, but the interconnection application itself is submitted with the same authorization form indicating the customer's wish to participate in Quick Connect. An email request from the contractor does not occur for all Quick Connect customers. Therefore, if a contractor email is not received, the date the meter notification is created is used. The "Email notif date used" column indicates identifies when the contractor email request date is used.
2. Please see the response to CA-IR-13.a.1.
3. The Companies archive the applicable emails received by contractors and samples can be shared upon request.
4. The Companies keep records on every service/meter notification requested (including the date the meter notification was created and service address), and its subsequent completion in the SAP database. Samples of these records can be shared upon request.

- b. Yes. Due to the Companies' AMI deployment initiative, many customers have had their meters replaced and these meters are able to be used for DER purposes.
1. The purpose of the Interconnection Approval PIM is to incentivize the reduction in total interconnection time for DER systems less than 100 kW.¹ The purpose of the Quick Connect process was to expedite the process to interconnect these systems.² Pursuant to the Interconnection Approval PIM tariff, for customers who chose to interconnect through the Quick Connect process, the only duration that was in the Companies' control was meter replacement. As such, that is the only step that was counted in the PIM calculation. After the Interconnection Approval PIM was designed, the Companies began the AMI deployment initiative as a part of the Companies' Grid Modernization Strategy. As a part of the AMI deployment initiative, there may be cases where the Companies have already done the work of replacing the customer's meter prior to the customer applying for a DER Program. In these instances, the Meter Replacement duration is counted as 0. The Quick Connect process enabled a significant reduction in interconnection times on Hawai'i Island and Maui and as a result, the Companies should get credit for these reductions, as provided for under the Interconnection Approval PIM tariff, even for those instances where a meter was already replaced.
- c. There were no projects where the Companies were able to install the necessary meter on the same day that an email was received from the contractor. This scenario can be shown

¹ See, e.g., Hawaiian Electric Company, Inc., Performance Incentive Mechanism Provision tariff, Sheet No. 98D.3.1, effective June 1, 2021.

² The Quick Connect process was a pilot that the Companies closed in October 2022 for several reasons, including the fact that it was not working as expected for O'ahu applications.

by filtering the “Quick Connect” tab for the following criteria: (1) “Status” column indicates “Project Execution,” (2) the “Email notif date used” column indicates a value of “Yes,” (3) the “QC duration” column indicates a value of 0, and (4) the “Meter Changed Date” is available.

- d. With the introduction of the Interconnection Approval PIM, the Companies were incentivized to introduce options that would expedite the customer’s experience to system energization. One option was the Quick Connect process. However, there are some instances where the email notification date is received significantly earlier than the application is received, but the meter change takes place later. Due to the timing of when the meter change takes place, there are instances where the Early Energization or Traditional duration would have been shorter. Due to the Companies’ energization type identification process, any application that meets the criteria for Quick Connect was treated as such, even though the duration potentially could have been shorter if the application was treated as Early Energization or Traditional. All applications go through the same triage, regardless of which duration would have been shorter to provide fair and transparent assessment.
 1. Customers participating in the Quick Connect process are able to receive value from their systems (energized system) as soon as their new meter is installed and all other required steps outside of the Companies’ control are completed.

INFORMAL CA-IR-14

Ref: Interconnection Approval PIM datafile

For Early Energization projects, the duration parameter was supposed to include Completeness Review (“CR”), Initial Technical Review (“ITR”), Supplemental Review (“SR”), Validation, and Meter Replacement.

- a. Please discuss the differences between the “Meter Change Request” date and the “Production Meter Change Request Date”.
- b. Please discuss the differences between the “Execution Meter Installed Date”, “Production Meter Installed Date”, and “Meter Install Date”.
- c. For illustrative purposes, please elaborate on the calculation of the time for interconnection for the early energization project H-GSP-21-322239 (line 3393). For this project, it appears that the Companies are asserting that the interconnection time is 42 days (column AE). Please identify the interval for each of the relevant duration parameters for this project.
 1. If not already included in the response above, please explain why the following intervals are not appropriate for the project: CR – 16 days (start: 4/20/2021; end: 5/6/2021); ITR – 21 (start: 5/6/2021; end 5/27/2021); SR – 25 (start: 5/27/2021; end: 6/21/2021); validation – 4 (start: 12/16/2021; end: 12/20/2021); and meter replacement – 13 (start: 12/22/2021; end: 1/4/2022).

Hawaiian Electric Companies’ Response:

As shown in the Interconnection Approval PIM tariff, the Companies clarify that the Early Energization projects do not include the Validation process.¹ The Early Energization steps only include CR, ITR, SR, and Meter Replacement.

- a. The “Meter Change Request” column in Sheet EX-2022 refers to the revenue meter that must be changed for all interconnection customers. The “Production Meter Change Request Date” refers to the production meter that is installed for Customer Grid Supply Plus customers.
- b. The “Execution Meter Installed Date” refers to the date the revenue meter was installed, the “Production Meter Installed Date” refers to the date the production meter was installed,

¹ See e.g., Hawaiian Electric Company, Inc., Tariff Sheet No. 98D.3.2.

and the “Meter Install Date” only refers to instances where the meter could not be installed during the first visit to the customer’s premise (due to safety issues or customer request).

In these instances, a notice (or door hanger) is left at the premise to let the customer know that an attempt was made to replace their revenue meter and to contact the Meter Shop to schedule a future visit. The “Meter Install Date” reflects the date of this initial visit since that is when the meter would have been replaced if not for factors outside of the Companies’ control.

- c. Please refer to the following illustration of duration intervals for the early energization project H-GSP-21-322239 (Row 3393). The interconnection time is measured in business days, excluding weekends and State holidays.

Project: H-GSP-21-322239 Energization Type: Early Energization			
Steps/durations under the companies control for the specified energization type	Start date	End date	Duration
CompletenessReviewEntryDate to Completeness Review ActualComplete Date (Completeness Review Duration)	4/20/2021	5/6/2021	12
InitialTechnicalReviewEntryDate to InitialTechnicalReviewActualCompleteDate (Initial Technical Review Duration)	5/6/2021	5/27/2021	15
SupplementalReviewEntryDate to SupplementalReviewActualCompleteDate (Supplemental Review Duration)	5/27/2021	6/21/2021	15
Meter Change Request to Meter Install Date (Meter Change Duration)	5/11/2021	5/15/2021	3*
Total number of business days to energize:			42

*Duration is not included due to the overlap with the ITR process

- c. 1. See the response to CA-IR-14.c.

INFORMAL CA-IR-15

Ref: Percentage-of-Bill Methodology.

- a. Please identify and explain all outreach efforts taken by the Companies to educate customers about the transition from the legacy cents-per-kWh methodology to the percentage-of-bill methodology.
- b. Please provide a copy of any information that call center representatives will provide to customers who inquire about the transition to the percentage-of-bill methodology.

Hawaiian Electric Companies' Response:

- a. The Companies are preparing talking points on the revised RBA rate adjustment to provide to their customer call center in advance of the June 1, 2023, effective date of the revised calculation of that bill item. The Companies expect to receive inquiries from customers served on residential Schedule R and small commercial Schedule G who have minimum bills; these are customers who have not previously received an RBA Rate Adjustment charge on their bill. The Companies will share the talking points that they provide to their front-line employees who respond to customers when they are finalized.
- b. Please see the Companies response to subpart a., above.

INFORMAL CA-IR-17

Ref: Schedule A

- a. In the Companies' presentation on April 11, 2023, there was a discussion on the comparison between using the percentage of bill versus kWh as the billing determinant for the RBA adjustment.
- b. Has the Companies completed any analyses to evaluate the impact of using kWh versus the percentage of bill to allow comparable analyses? If so, please provide a copy of those analyses.
- c. If the Companies have not conducted such an analysis (i.e., a comparison of the 2022 and 2023 results using both billing determinants), please discuss the Companies' position on whether recalculating the RBA adjustments for each company presented in Transmittal No. 22-03 and 23-01 would better isolate the impacts of using kWh versus percentage of bill as a billing determinant.
 1. Since the Companies have already presented the bill impact of using kWh as the billing determinant in its 22-03 Spring Revenue Report filing, please provide the Companies' estimated RBA Divisor as well as the estimated basis for residential bill for 2022 for each company to facilitate a recalculation of the RBA% that would have been used in 2022 if the percentage of bill method was used in 2022.
 2. Since the Companies have already presented the bill impact of using the percentage of bill method in its 23-01 Spring Revenue Report filing, please provide the Companies' most recent GWH estimate for each company to facilitate a recalculation of the RBA rate adjustment (on a cents per kWh basis) for each company in 2023.

Hawaiian Electric Companies' Response:

- a. Not applicable. This information request is not a question.
- b. As a preliminary matter, the Companies reiterate that they are not seeking approval to revise the implementation of the RBA surcharge from a cents per kilowatt-hour ("kWh") methodology to a percentage (of total bill less ECRC) methodology ("percentage of bill methodology"). Rather, the Companies are seeking Commission approval of the specific RBA percentages to implement in their billing system effective June 1, 2023, as the legacy cents per kWh methodology will not comply with existing Commission Orders after May 31, 2023.

As discussed in Transmittal 23-01 (Spring Revenue Report),¹ Decision and Order No. 38680 (“D&O 38680”) and Order No. 38750 (“Order 38750”) in Docket No 2019-0323 approved the change to the percentage of bill methodology. Relevant excerpts from those Orders are provided below:

D&O 38680, approving the (new) RBA methodology:

10. The RBA Rate Adjustment shall be applied on a percentage-of-bill basis (excluding the ECRC expense) for all customer classes that are subject to the RBA. Changes to the implementation of the RBA Provision tariff shall be made for all customers at the time of the next scheduled change to the RBA Rate Adjustment.²

Order 38750, approving the implementation date of June 1, 2023:

D. Granted, in part, regarding Hawaiian Electric’s request for clarification to delay implementation of the RBA Adjustment as a percentage of bill charge to the next feasible scheduled change, which the Companies have determined to be June 1, 2023.³

The tables below summarize the bill impact of Transmittal No. 22-03 (2022 Fall Revenue Report) (part 1) and Transmittal No. 23091 (2023 Spring revenue Report) (part 2) by company using the percentage of bill methodology (“New Method”) versus the legacy cents per kWh methodology (“Legacy Method”). See Attachment 1 to this response for supporting workpapers.

¹ Transmittal No. 23-01 (Spring Revenue Report) filed on March 28, 2023, at 13-14.

² D&O 38680, issued on October 31, 2022 in Docket No. 2019-0323, Ordering Paragraph 10, at 175.

³ Order 38750, issued on December 8, 2022 in Docket No. 2019-0323, at 17.

- Part 1: 2022 Fall Revenue Report – Comparison of the approved filing which used the New Method, had it been used, versus the Legacy Method.

		NEW METHOD	LEGACY METHOD (As Filed)	
	kWh Usage	2022 Fall Report (% of bill)	2022 Fall Report (cents/kWh)	DIFFERENCE
HECO	500	\$13.40	\$11.12	\$2.28
HELCO	500	\$7.02	\$6.50	\$0.52
MECO (Maui)	500	\$9.26	\$9.52	-\$0.26
MECO (Lanai)	400	\$7.95	\$7.62	\$0.33
MECO (Molokai)	400	\$8.78	\$7.62	\$1.16

- Part 2: 2023 Spring Revenue Report – Comparison of the New Method used in the filing versus the Legacy Method, had it been used.

		NEW METHOD (As Filed)	LEGACY METHOD	
	kWh Usage	2023 Spring Report (% of bill)	2023 Spring Report (cents/kWh)	DIFFERENCE
HECO	500	\$14.23	\$11.31	\$2.92
HELCO	500	\$7.77	\$7.17	\$0.60
MECO (Maui)	500	\$9.85	\$10.02	-\$0.17
MECO (Lanai)	400	\$8.39	\$8.02	\$0.37
MECO (Molokai)	400	\$9.27	\$8.02	\$1.25

c. Not applicable. See the response to subpart b., above, for the analysis the Companies conducted.

- The Companies assume that the Consumer Advocate intended to reference “22-03 Fall Revenue Report filing,” instead of “22-03 Spring Revenue Report filing” and respond as follows:

See *Hawaiian Electric’s ARD Compliance Filing*, filed on January 27, 2023 in Docket No. 2019-0323, Exhibit 10A, Attachment 2, page 1, lines 15-18 for Hawaiian Electric, Exhibit 10B, Attachment 2, page 1, lines 14-17 for Hawai‘i Electric Light,

and Exhibit 10C, Attachment 2, page 1, lines 14-21, for the estimated RBA Divisor, the RBA % for use in RBA tariff, the estimated basis for residential bill, and the bill impact. The table for Part 1 above summarizes the bill impact using the new percentage of bill method, had it been used in the 2022 Fall Revenue Report filing.

2. See Attachment 1, pages 3, 5, 7, to this response for each Company's WP-A-001 representing the respective Companies' most recent GWH estimate. This estimate was used in response to subpart b. in the calculation of Part 2 (2023 Spring Revenue report, had the Legacy Method been used).

On April 11, 2023, during the Informal Briefing, there was some discussion on the RBA Divisor used to determine the RBA Rate Adjustment percentage in the new percentage of bill methodology and whether using actual billed revenues from the prior year (rather than the Companies' proposal to utilize revenues from each Company's last rate case) would minimize the difference between what the Companies collect and target revenue, and thereby result in a lower RBA balance. Although the Companies' position is that their proposed method of determining the RBA Divisor is reasonable, the Companies performed the following analyses using actual billed revenues from the prior year in Attachment 2⁴ to this response:

- 2023 Spring Revenue Report – Comparison of the RBA Divisor calculation proposed in the filing using the test year revenues and forecasted surcharges ("As

⁴ Portions of Attachment 2 to this response contain confidential information and are being provided subject to the terms of Non-Docketed Protective Order No. 2023-PO-04 issued on January 10, 2023. Please refer to Attachment A for the basis of confidentiality and the cognizable harm to the Companies from any misuse or unpermitted disclosure of the information.

Filed”) versus an RBA Divisor using the most recent historical billed revenues

(“Historical Method”) for the period January through December 2022; and

- 2022 Fall Revenue Report – Calculation of the RBA Divisor using the test year revenues and forecasted surcharges, as proposed in the 2023 Spring Revenue Report (“Original Method”), versus an RBA Divisor using the Historical Method at that point in time for the period October 2021 through September 2022.

It is difficult to assess which of these two RBA Divisor calculation methodologies (using the test year revenues and forecasted surcharges versus using historical billed revenues) would minimize the difference between what the Companies collect and target revenue and thereby result in a lower RBA balance. The analysis compares the difference in the RBA Divisor impacting the RBA % for use in the RBA Tariff between the two percentage of bill methodologies. The Estimated RBA Revenue Collected for January through March 2023 (part III, line 5 using the percentage of bill methodology) when compared against actual billed RBA revenues collected (part II, line CC using the cents per kWh methodology), compares two different methodologies and does not show a clear trend of which percentage of bill methodology would be better than the other. It is also difficult to predict if either method would be a consistently better estimate of actual RBA revenues over time. Nevertheless, with either method, any resulting difference between target revenues and recorded adjusted revenues would flow into the RBA.

Hawaiian Electric Companies
Sch A RBA Method Comparisons

Purpose: To calculate the monthly bill impact on the 2022 Fall and 2023 Revenue Reports using the RBA % of total bill ("New Method") versus the cents/kWh basis ("Legacy Method").

Part 1: 2022 Fall Revenue Report Schedule A Method Comparison

		NEW METHOD	LEGACY METHOD (As Filed)	DIFFERENCE
		2022 Fall Report (% of bill) [Note 1]	2022 Fall Report (cents/kWh) [Note 2]	NEW METHOD Higher / (Lower) than LEGACY METHOD
kWh Usage		a	b	c = a - b
HECO	500	\$13.40	\$11.12	\$2.28
HELCO	500	\$7.02	\$6.50	\$0.52
MECO (Maui)	500	\$9.26	\$9.52	-\$0.26
MECO (Lanai)	400	\$7.95	\$7.62	\$0.33
MECO (Molokai)	400	\$8.78	\$7.62	\$1.16

Part 2: 2023 Spring Revenue Report Schedule A Method Comparison

		NEW METHOD (As Filed)	LEGACY METHOD	DIFFERENCE
		2023 Spring Report (% of bill) [Note 3]	2023 Spring Report (cents/kWh)	NEW METHOD Higher / (Lower) than LEGACY METHOD
kWh Usage		a	b	c = a - b
HECO	500	\$14.23	\$11.31 <i>From p2</i>	\$2.92
HELCO	500	\$7.77	\$7.17 <i>From p4</i>	\$0.60
MECO (Maui)	500	\$9.85	\$10.02 <i>From p6</i>	-\$0.17
MECO (Lanai)	400	\$8.39	\$8.02 <i>From p6</i>	\$0.37
MECO (Molokai)	400	\$9.27	\$8.02 <i>From p6</i>	\$1.25

Notes:

- [1] Source: Exhibit 10A Attachment 2, Exhibit 10B Attachment 2, Exhibit 10C Attachment 2 in Docket No. 2019-0323, ARD Compliance Filing, filed January 27, 2023.
- [2] Source: Each Company's Schedule A, as filed in Transmittal No. 22-03 on December 20, 2022.
- [3] Source: Each Company's Schedule A, as filed in Transmittal No. 23-01 on March 28, 2023.

SCHEDULE A
PAGE 1 OF 1

2023 SPRING REVENUE REPORT
ILLUSTRATION: SCHEDULE A USING LEGACY METHOD

SCHEDULE A
PAGE 1 OF 1

1. 2022 Fall column (c) is carried forward from the 2022 Fall Revenue report.
2. GWH sales volume estimate for the period June 2023 - May 2024 is used.

RBA BASED ON KWH SALES (LEGACY METHOD)					
HAWAIIAN ELECTRIC COMPANY, INC.					
REVENUE REPORT CALCULATION WORKBOOK					
DETERMINATION OF REVENUE BALANCING ACCOUNT RATE ADJUSTMENT					
Line No.	Description	Reference	(Note 3) 2022 Fall (Jan to Dec 2023)	(Note 4) 2023 Spring (effective June 1, 2023)	2023 Total
	(a)	(b)	(c)	(d)	(e)
RECONCILIATION OF RBA BALANCE:					
1	RBA Balance, September 30, 2022	<i>Schedule B</i>	\$ 16,710,315	\$ -	\$ 16,710,315
2	Revenue Tax Factor	Note 2	1.097514	1.097514	1.097514
3	REVENUE FOR RBA BALANCE		\$ 18,339,805	\$ -	\$ 18,339,805
4	RAM REVENUE ADJUSTMENT THROUGH 2020	<i>Schedule C1</i>	\$ 40,987,620	\$ -	\$ 40,987,620
5	PRIOR YEARS' COMPOUNDED PORTION OF ARA	<i>Schedule C1</i>	\$ 31,619,378	\$ -	\$ 31,619,378
ANNUAL REVENUE ADJUSTMENT ("ARA") AMOUNT:					
6a	Compounded Portion of ARA	<i>Schedule C</i>	\$ 26,982,382	\$ -	\$ 26,982,382
6b	Non-Compounded Portion of ARA	<i>Schedule C</i>	\$ (4,618,172)	\$ -	\$ (4,618,172)
6	ARA ADJUSTMENT	<i>Schedule C</i>	\$ 22,364,210	\$ -	\$ 22,364,210
7	EARNINGS SHARING REVENUES (CREDITS)	<i>Schedule D</i>	\$ -	\$ -	\$ -
8	PERFORMANCE INCENTIVE MECHANISM REWARD (PENALTY)	<i>Schedule E</i>	\$ -	\$ 2,453,814	\$ 2,453,814
9	MPIR/EPRM REVENUE ADJUSTMENT	<i>Schedule F; Note 5</i>	\$ 22,714,421	\$ 3,843,033	\$ 26,557,454
10	AFFILIATE TRANSACTION REFUND	Note 6	\$ (11,590)	\$ -	\$ (11,590)
11	PILOT PROCESS COST RECOVERY	<i>Schedule G</i>	\$ -	\$ 183,939	\$ 183,939
12	PUC-ORDERED ADJUSTMENTS	<i>Schedule H</i>	\$ -	\$ -	\$ -
13	TOTAL TO BE RECOVERED THROUGH THE RBA RATE SURCHARGE		\$ 136,013,844	\$ 6,480,786	\$ 142,494,630
PORTION TO BE RECOVERED					
14	RBA REVENUE ADJUSTMENT	Line 13		12 months effective June 1, 2023 \$ 6,480,786	Total
15	GWH SALES VOLUME ESTIMATE	<i>From p3</i>		6,303.1	
16	RBA RATE ADJUSTMENT - Cents per kWh	Note 1	2.1598	0.1028	2.2626
17	ESTIMATED MONTHLY IMPACT @ 500 KWH, \$				\$ 11.31 <i>To pl</i>
18	CURRENT RBA RATE				2.2241
19	INCREMENTAL CHANGE - cents per kWh	Line 16 - Line 18			0.0385
20	MONTHLY BILL IMPACT @ 500 KWH - INCREMENTAL				\$ 0.19

Note 1: 2023 RBA Rate Adjustment Breakdown:

CARRYOVER AMOUNTS FROM 2022 FALL REVENUE REPORT (Note 3):

RBA Balance at 9/30/2022
Prior RAM
Prior Years' Compounded Portion of ARA
ARA Amount
MPIR/EPRM Revenue Adjustment
Affiliate Transaction Refund
Subtotal

Effective: June 1, 2023		
Col (c)	Rate Adjustment cents per kWh	Percentage Share
\$ 18,339,805	0.2912	12.8701%
\$ 40,987,620	0.6509	28.7678%
\$ 31,619,378	0.5021	22.1913%
\$ 22,364,210	0.3551	15.6943%
\$ 22,714,421	0.3607	15.9418%
\$ (11,590)	(0.0002)	-0.0088%
\$ 136,013,844	2.1598	95.4566%

2023 SPRING REVENUE REPORT (Note 4):

Earnings Sharing Revenues (Credits)
Performance Incentive Mechanism Reward (Penalty)
MPIR/EPRM Revenue Adjustment
Affiliate Transaction Refund
Pilot Process Recovery
PUC-Ordered Adjustments
Subtotal

Col (d)	Rate Adjustment cents per kWh	Percentage Share
\$ -	-	0.0000%
\$ 2,453,814	0.0389	1.7193%
\$ 3,843,033	0.0610	2.6960%
\$ -	-	0.0000%
\$ 183,939	0.0029	0.1282%
\$ -	-	0.0000%
\$ 6,480,786	0.1028	4.5434%
\$ 142,494,630	2.2626	100.0000%

Note 2: Revenue Tax based on 8.885% statutory rates.

Note 3: Fall Revenue Report RBA items included in Transmittal No. 22-03 (Fall Revenue Report), Exhibit 1, Attachment 2, filed December 20, 2022, that continue to be included in the RBA rate for the June to December 2023 period.

Note 4: Transmittal No. 22-03 (Fall Revenue Report), Exhibit 1, Attachment 2, Schedule A (Revised 12/20/2022), filed December 20, 2022.

Note 5: Annualized MPIR/EPRM amount of \$26,557,454 will be recovered starting June 1, 2023.

Note 6: Decision and Order No. 35962 in Docket No. 2018-0065, filed December 19, 2018, established Affiliate Transaction Requirements ("ATR") for the Companies.
2022 Fall Revenue Report - In October 2022, the Company recorded a Regulatory Liability related to an employee transfer or temporary assignment to be returned to customers for \$10,560, which was grossed up for revenue taxes to \$11,590.

HAWAIIAN ELECTRIC COMPANY, INC.
SALES FORECAST FOR JUNE 2023 TO MAY 2024
IN GWH

	2023							2024					
	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Total
R	125.4	142.3	151.0	146.5	141.3	131.8	131.6	132.6	107.9	115.0	112.6	118.5	1,556.7
G	24.4	25.9	26.7	25.1	25.4	23.5	22.7	22.4	21.5	23.1	23.5	24.2	288.4
J	148.0	158.3	160.8	157.5	158.5	146.6	141.3	138.9	131.6	140.7	144.8	151.8	1,778.7
P	222.9	238.4	249.2	234.0	237.4	220.6	215.3	209.4	191.8	210.4	214.0	220.2	2,663.6
F	1.2	1.3	1.3	1.3	1.3	1.3	1.4	1.3	1.2	1.4	1.3	1.3	15.7
Total	522.0	566.2	589.1	564.4	563.9	523.9	512.2	504.6	454.0	490.6	496.2	516.0	6,303.1

[To p2](#)

Source: Hawaiian Electric Company, Inc. June 2022 Sales Forecast.

2023 SPRING REVENUE REPORT
ILLUSTRATION USING LEGACY METHOD

SCHEDULE A
PAGE 1 OF 1

- 1. 2022 Fall column (c) is carried forward from the 2022 Fall Revenue report.
- 2. GWH sales volume estimate for the period June 2023 - May 2024 is used.

RBA BASED ON KWH SALES (LEGACY METHOD)					
HAWAII ELECTRIC LIGHT COMPANY, INC.					
REVENUE REPORT CALCULATION WORKBOOK					
DETERMINATION OF REVENUE BALANCING ACCOUNT RATE ADJUSTMENT					
Line No.	Description	Reference	(Note 3) 2022 Fall (Jan to Dec 2023)	(Note 4) 2023 Spring (effective June 1, 2023)	2023 Total
	(a)	(b)	(c)	(d)	(e)
RECONCILIATION OF RBA BALANCE:					
1	RBA Balance, September 30, 2022	Schedule B	\$ (3,858,076)	\$ -	\$ (3,858,076)
2	Revenue Tax Factor	Note 2	1.097514	1.097514	1.097514
3	REVENUE FOR RBA BALANCE		\$ (4,234,292)	\$ -	\$ (4,234,292)
4	RAM REVENUE ADJUSTMENT THROUGH 2020	Schedule CI	\$ 3,211,847	\$ -	\$ 3,211,847
5	PRIOR YEARS' COMPOUNDED PORTION OF ARA	Schedule CI	\$ 7,763,814	\$ -	\$ 7,763,814
ANNUAL REVENUE ADJUSTMENT ("ARA") AMOUNT:					
6a	Compounded Portion of ARA	Schedule C	\$ 6,624,595	\$ -	\$ 6,624,595
6b	Non-Compounded Portion of ARA	Schedule C	\$ (995,140)	\$ -	\$ (995,140)
6	ARA ADJUSTMENT	Schedule C	\$ 5,629,455	\$ -	\$ 5,629,455
7	EARNINGS SHARING REVENUE CREDITS	Schedule D	\$ -	\$ -	\$ -
8	PERFORMANCE INCENTIVE MECHANISM REWARD (PENALTY)	Schedule E	\$ -	\$ 439,248	\$ 439,248
9	MPIR/EPRM REVENUE ADJUSTMENT	Schedule F; Note 5	\$ 334,410	\$ 2,117,543	\$ 2,451,953
10	PILOT PROCESS COST RECOVERY	Schedule G	\$ -	\$ 104,024	\$ 104,024
11	PUC-ORDERED ADJUSTMENTS	Schedule H	\$ -	\$ -	\$ -
12	TOTAL TO BE RECOVERED THROUGH THE RBA RATE SURCHARGE		12,705,234	2,660,815	15,366,049
PORTION TO BE RECOVERED			12 months effective June 1, 2023		
13	RBA REVENUE ADJUSTMENT	Line 13		\$ 2,660,815	Total
14	GWH SALES VOLUME ESTIMATE	From p5		1,074.8	
15	RBA RATE ADJUSTMENT - Cents per kWh	Note 1	1.1863	0.2476	1.4339
16	ESTIMATED BASIS FOR RESIDENTIAL BILL @ 500 KWH, \$			\$ 7.17	To pl
17	CURRENT RBA RATE				1.3006
18	INCREMENTAL CHANGE - cents per kWh	Line 15 - Line 17			0.1333
19	MONTHLY BILL IMPACT @ 500 KWH - INCREMENTAL			\$ 0.67	

Note 1: 2023 RBA Rate Adjustment Breakdown:

CARRYOVER AMOUNTS FROM 2022 FALL REVENUE REPORT (Note 3):

RBA Balance at 9/30/2022
Prior RAM
Prior Years' Compounded Portion of ARA
ARA Amount
MPIR/EPRM Revenue Adjustment
Subtotal

Effective: June 1, 2023		
Col (c)	Rate Adjustment cents per kWh	Percentage Share
\$ (4,234,292)	(0.3954)	-27.58%
\$ 3,211,847	0.2999	20.91%
\$ 7,763,814	0.7250	50.56%
\$ 5,629,455	0.5256	36.66%
\$ 334,410	0.0312	2.18%
\$ 12,705,234	1.1863	82.7324%

2023 SPRING REVENUE REPORT (Note 4):

Earnings Sharing Revenues (Credits)
Performance Incentive Mechanism Reward (Penalty)
MPIR/EPRM Revenue Adjustment
Pilot Process Recovery
PUC-Ordered Adjustments
Subtotal

Col (d)	Rate Adjustment cents per kWh	Percentage Share
\$ -	-	0.00%
\$ 439,248	0.0409	2.85%
\$ 2,117,543	0.1970	13.74%
\$ 104,024	0.0097	0.68%
\$ -	-	0.00%
\$ 2,660,815	0.2476	17.2676%
\$ 15,366,049	1.4339	100.0000%

Note 2: Revenue Tax based on 8.885% statutory rates.

Note 3: Fall Revenue Report RBA items included in Transmittal No. 22-03 (Fall Revenue Report), Exhibit 2, Attachment 2, filed December 20, 2022, that continue to be included in the RBA rate for the June to December 2023 period.

Note 4: Transmittal No. 22-03 (Fall Revenue Report), Exhibit 2, Attachment 2, Schedule A (Revised 12/20/2022), filed December 20, 2022.

Note 5: Annualized MPIR/EPRM amount of \$2,451,953 will be recovered starting June 1, 2023.

HAWAII ELECTRIC LIGHT COMPANY, INC.
SALES FORECAST FOR JUNE 2023 TO MAY 2024
IN GWH

	2023							2024					
	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Total
R	34.3	38.6	39.7	35.7	36.9	37.3	39.7	41.0	33.6	37.7	34.2	34.2	442.9
G	7.1	7.5	7.7	7.3	7.6	7.1	6.8	6.5	6.5	6.8	6.8	7.0	84.8
J	22.9	24.3	25.0	23.8	24.8	23.2	22.2	21.2	21.2	22.0	22.1	22.9	275.8
P	22.7	23.4	22.8	23.5	23.0	23.3	22.7	21.6	21.3	21.3	21.7	21.5	268.7
F	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	2.6
Total	87.2	94.0	95.4	90.6	92.6	91.1	91.7	90.4	82.8	88.0	85.0	85.9	1,074.8

To p4

Source: Hawaii Electric Light Company, Inc. June 2022 Sales Forecast.

2023 SPRING REVENUE REPORT
ILLUSTRATION USING LEGACY METHOD

SCHEDULE A
PAGE 1 OF 1

- 1. 2022 Fall column (c) is carried forward from the 2022 Fall Revenue report.
- 2. GWH sales volume estimate for the period June 2023 - May 2024 is used.

RBA BASED ON KWH SALES (LEGACY METHOD)					
MAUI ELECTRIC COMPANY, LIMITED					
REVENUE REPORT CALCULATION WORKBOOK					
DETERMINATION OF REVENUE BALANCING ACCOUNT RATE ADJUSTMENT					
Line No.	Description	Reference	(Note 3) 2022 Fall (Jan to Dec 2023)	(Note 4) 2023 Spring (effective June 1, 2023)	2023 Total
	(a)	(b)	(c)	(d)	(e)
RECONCILIATION OF RBA BALANCE:					
1	RBA Balance, September 30, 2022	<i>Schedule B</i>	\$ (2,961,353)	\$ -	\$ (2,961,353)
2	Revenue Tax Factor	Note 2	1.097514	1.097514	1.097514
3	REVENUE FOR RBA BALANCE		\$ (3,250,126)	\$ -	\$ (3,250,126)
4	RAM REVENUE ADJUSTMENT THROUGH 2020	<i>Schedule C1</i>	\$ 6,543,185	\$ -	\$ 6,543,185
5	PRIOR YEARS' COMPOUNDED PORTION OF ARA	<i>Schedule C1</i>	\$ 7,593,699	\$ -	\$ 7,593,699
ANNUAL REVENUE ADJUSTMENT ("ARA") AMOUNT:					
6a	Compounded Portion of ARA	<i>Schedule C</i>	\$ 6,480,820	\$ -	\$ 6,480,820
6b	Non-Compounded Portion of ARA	<i>Schedule C</i>	\$ (992,020)	\$ -	\$ (992,020)
6	ARA ADJUSTMENT	<i>Schedule C</i>	\$ 5,488,800	\$ -	\$ 5,488,800
7	EARNINGS SHARING REVENUES (CREDITS)	<i>Schedule D</i>	\$ -	\$ -	\$ -
8	PERFORMANCE INCENTIVE ADJUSTMENT REWARD/(PENALTY)	<i>Schedule E</i>	\$ -	\$ 518,069	\$ 518,069
9	MPIR/EPRM REVENUE ADJUSTMENT	<i>Schedule F; Note 5</i>	\$ 342,720	\$ 1,699,001	\$ 2,041,721
10	PILOT PROCESS COST RECOVERY	<i>Schedule G</i>	\$ -	\$ 87,451	\$ 87,451
11	PUC-ORDERED ADJUSTMENTS	<i>Schedule H</i>	\$ -	\$ 1,708,829	\$ 1,708,829
12	TOTAL TO BE RECOVERED THROUGH THE RBA RATE SURCHARGE		\$ 16,718,278	\$ 4,013,350	\$ 20,731,628
PORTION TO BE RECOVERED					
13	RBA REVENUE ADJUSTMENT	Line 13		12 months effective June 1, 2023 \$ 4,013,350	Total
14	GWH SALES VOLUME ESTIMATE	<i>From p7</i>		1,034.0	
15	RBA RATE ADJUSTMENT - Cents per kWh	Note 1	<u>1.6167</u>	<u>0.3881</u>	<u>2.0048</u>
16	MONTHLY BILL IMPACT @ 500 KWH - Maui Division				\$ 10.02 <i>To p1</i>
17	MONTHLY BILL IMPACT @ 400 KWH - Molokai and Lanai Divisions				\$ 8.02 <i>To p1</i>
18	CURRENT RBA RATE				1.9048
19	INCREMENTAL CHANGE - cents per kWh	Line 18 - Line 15			0.1000
20	MONTHLY BILL IMPACT @ 500 KWH - Maui Division - INCREMENTAL				\$ 0.50
21	MONTHLY BILL IMPACT @ 400 KWH - Molokai and Lanai Divisions - INCREMENTAL				\$ 0.40

Note 1: 2023 RBA Rate Adjustment Breakdown:

CARRYOVER AMOUNTS FROM 2022 FALL REVENUE REPORT (Note 3):

RBA Balance at 9/30/2022
Prior RAM
Prior Years' Compounded Portion of ARA
ARA Amount
MPIR/EPRM Revenue Adjustment
Subtotal

Effective: June 1, 2023		
Col (c)	Rate Adjustment cents per kWh	Percentage Share
\$ (3,250,126)	(0.3143)	-15.68%
\$ 6,543,185	0.6327	31.56%
\$ 7,593,699	0.7344	36.63%
\$ 5,488,800	0.5308	26.48%
\$ 342,720	0.0331	1.65%
<u>\$ 16,718,278</u>	<u>1.6167</u>	<u>80.64%</u>
Col (d)	Rate Adjustment cents per kWh	Percentage Share
\$ -	-	0.00%
\$ 518,069	0.0501	2.50%
\$ 1,699,001	0.1643	8.19%
\$ 87,451	0.0085	0.42%
\$ 1,708,829	0.1653	8.24%
<u>\$ 4,013,350</u>	<u>0.3882</u>	<u>19.36%</u>
<u>\$ 20,731,628</u>	<u>2.0049</u>	<u>100.00%</u>

Note 2: Revenue Tax based on 8.885% statutory rates.

Note 3: Fall Revenue Report RBA items included in Transmittal No. 22-03 (Fall Revenue Report), Exhibit 3, Attachment 2, filed December 20, 2022, that continue to be included in the RBA rate for the June to December 2023 period.

Note 4: Transmittal No. 22-03 (Fall Revenue Report), Exhibit 3, Attachment 2, Schedule A (Revised 12/20/2022), filed December 20, 2022.

Note 5: Annualized MPIR/EPRM amount of \$2,041,721 will be recovered starting June 1, 2023.

MAUI ELECTRIC COMPANY, LIMITED
(CONSOLIDATED) SALES FORECAST FOR JUNE 2023 TO MAY 2024
IN GWH

	2023							2024					
	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Total
R	29.5	33.1	33.0	30.5	32.8	32.2	33.7	32.9	29.7	29.9	28.2	28.1	373.6
G	6.1	6.4	6.6	6.3	6.6	6.4	6.2	6.0	5.7	5.8	5.7	5.9	73.5
J	20.3	21.4	21.8	20.9	21.8	20.8	20.2	19.5	18.6	19.2	19.0	19.8	243.3
P	28.7	30.6	29.8	29.9	29.2	28.7	28.0	27.2	26.3	26.4	27.1	26.4	338.3
F	0.4	0.4	0.4	0.4	0.4	0.4	0.4	0.4	0.4	0.4	0.4	0.4	5.2
Total	85.0	92.0	91.6	88.1	90.9	88.5	88.5	86.0	80.7	81.7	80.4	80.6	1,034.0

To p6

Source: Maui Electric Company, Limited June 2022 Sales Forecast.

Attachment 2 contains confidential information and is provided subject to

Protective Order No. 2023-PO-04 issued on January 10, 2023.

CERTIFICATE OF SERVICE

I hereby certify that a copy of the foregoing **DIVISION OF CONSUMER ADVOCACY'S STATEMENT OF POSITION** was duly served upon the following parties electronically to the e-mail addresses below pursuant to HAR § 16-601-21(d), as modified by Order No. 38270 Setting Forth Public Utilities Commission Electronic Filing and Service Procedures, filed on March 14, 2022.

DEAN MATSUURA
DIRECTOR, REGULATORY RATE PROCEEDINGS
Hawaiian Electric Company, Inc.
P.O. Box 2750
Honolulu, Hawaii 96840-0001
Email: dean.matsuura@hawaiianelectric.com
regulatory@hawaiianelectric.com

DATED: Honolulu, Hawaii, May 1, 2023.

/s/ S. Strack